Adverse Action and Applicant Communication Standard

ASHVA CAPITAL INTERNAL CREDIT POLICY MANUAL ## SECTION 14: CREDIT DECLINES, REASON CODES, AND APPEALS Document ID: AC-POL-CRD-14 Effective Date: 01 January 2026 Applicability: All Underwriting, Credit Operations, and Risk Management Personnel

14.1 Mandate and Turnaround Times 1. Every credit application submitted to Ashva Capital shall receive a definitive underwriting determination—Approval, Decline, or Formal Information Request—within a strict turnaround window. 2. The maximum permitted turnaround time for issuing a formal decline notice from the exact timestamp of initial document intake is 48 business hours. 3. If an application remains pending due to missing data from the applicant, the file shall be placed on an Incomplete Application Hold for a maximum period of 5 business days, after which it shall be automatically declined under Section 14.2.

14.2 Mandatory Content of a Decline Notice 1. Every decline notice generated by the Ashva Capital Loan Origination System (LOS) and transmitted to the applicant via registered electronic mail must contain the following five elements without exception: * (a) The exact legal name of the applicant entity and the Ashva Capital Application Reference Number. * (b) The formal timestamp of the underwriting decision. * (c) Exactly one primary decline reason code selected exclusively from the Approved Reason Code Schedule in Section 14.3. * (d) A brief factual narrative explaining the specific underwriting metric that triggered the decline code. * (e) The precise instructions, submission portal link, and hard deadline for filing an appeal under Section 14.5.

14.3 Approved Decline Reason Codes Underwriters are strictly prohibited from citing any rationale, memo excerpt, or policy rule not explicitly listed in this schedule. The use of unapproved terminology or generalized decline reasons shall result in an internal compliance violation.

1. `APPROVED_STANDARD`: Meets every underwriting standard (Reserved for audit validation trails and system overrides only).
2. `DSCR_BELOW_FLOOR`: Debt-service coverage ratio is below the sector floor.
3. `THIN_FILE`: Fewer than 24 months operating, or no active trade line.
4. `ADVERSE_BUREAU`: Bureau score below 450.
5. `PAST_DELINQUENCY`: A 90-day delinquency, or 500,000 rupees or more written off.
6. `DOC_MISMATCH`: Declared revenue differs from verified revenue by more than 10 percent.
7. `SECTOR_CAP`: The sector has reached its maximum share of the loan book.
8. `LEVERAGE_ABOVE_LIMIT`: Total debt after the loan exceeds 6.0 times EBITDA.
9. `LIQUIDITY_BELOW_FLOOR`: Current ratio is below 1.10.
10. `TENOR_ABOVE_LIMIT`: Requested tenor is longer than the grade or the sector allows.
11. `COLLATERAL_SHORTFALL`: Collateral is worth less than the cover the grade requires.
12. `FRAUD_HOLD`: Declared revenue differs from verified revenue by more than 25 percent.
13. `GRADE_REQUIRES_REVIEW`: Grade C2 or D1: never approved automatically.
14. `INCOMPLETE_APPLICATION`: A figure needed to test a standard was not supplied.

15. `WITHDRAWN_BY_APPLICANT`: The applicant withdrew the application.

14.4 Prohibition on Unlisted Reasons 1. Underwriters, Risk Officers, and Automated Decision Engines shall not cite, write, or communicate any decline reason, informal commentary, or policy reference that does not match the exact alphanumeric string and definition set forth in Section 14.3. 2. Any external correspondence or internal memo containing unapproved decline rationales must be recalled, amended, and re-issued within 4 business hours of discovery by the Quality Assurance Unit.

14.5 Appeal Process and Deadline 1. An applicant wishing to challenge a decline decision must submit a formal appeal through the Ashva Capital Borrower Portal. 2. The absolute deadline for submitting an appeal is 10 calendar days from the transmission timestamp of the original decline notice. Appeals received after the 10th calendar day shall be automatically rejected without review. 3. An appeal must include verifiable documentation rectifying the specific deficit cited in the decline reason code (e.g., audited statements for a `DOC_MISMATCH` or updated capitalization tables for a `LEVERAGE_ABOVE_LIMIT`). 4. All timely appeals shall be adjudicated by the Credit Appeals Committee, chaired by Senior Risk Officer Marcus Vance or his designated alternate, within 5 business days of receipt.

14.6 Record Retention Period 1. All declined application files, including electronic submissions, bureau reports, verification worksheets, automated decision logs, and copies of the issued decline notice, must be preserved in the Ashva Capital Secure Archive. 2. The mandatory record retention period for all declined files is 7 years from the date of the decline notice. 3. Under no circumstances may a declined file be purged, anonymized, or deleted prior to the expiration of the 7-year retention window, subject to internal audit and regulatory inspection requirements.